

Capturing Learning from Innovation

Chapter 15 — Knowledge Management

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Learning Objectives

By the end of this chapter, you will be able to:

- **Explain** why "learning" is the key to sustainable innovation advantage.
- **Distinguish** between Tacit and Explicit knowledge.
- **Apply** the Learning Cycle (Kolb) to organizational routines.
- **Understand** how to capture knowledge through Post-Project Reviews.
- **Evaluate** the barriers to learning (organizational amnesia).

Innovation is not just about the output (the product); it is about the process.

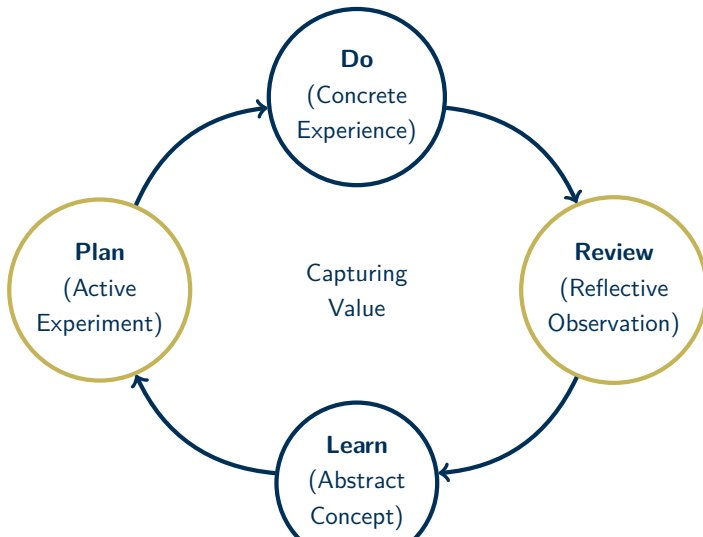
The Learning Curve

Organizations that learn effectively reduce the cost and time of future innovations. They avoid "reinventing the wheel."

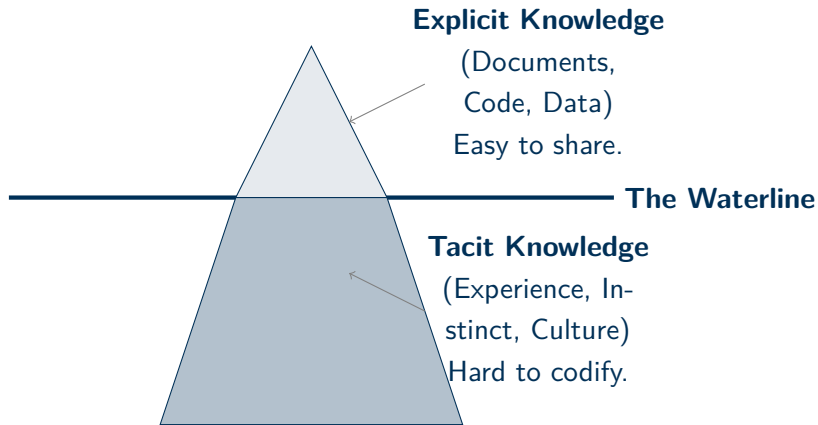
The Trap: Many firms focus so much on *doing* (Project Execution) that they fail to *reflect* (Project Review), leading to repeated mistakes.

The Innovation Learning Cycle

Based on Kolb's Experiential Learning Model.



The Knowledge Iceberg



*Challenge: Most innovation knowledge is Tacit. "We know more than we can tell."
(Polanyi)*

Knowledge Management (KM) Strategies

How do we move knowledge around the firm?

Codification Strategy

- Converting knowledge into databases, manuals, and software.
- Focus: **Explicit Knowledge**.
- Goal: "People-to-Documents."
- Example: IT Systems, Checklists.

Personalization Strategy

- Encouraging direct person-to-person contact.
- Focus: **Tacit Knowledge**.
- Goal: "People-to-People."
- Example: Mentoring, Rotation, Communities of Practice.

Tools: The Post-Project Review

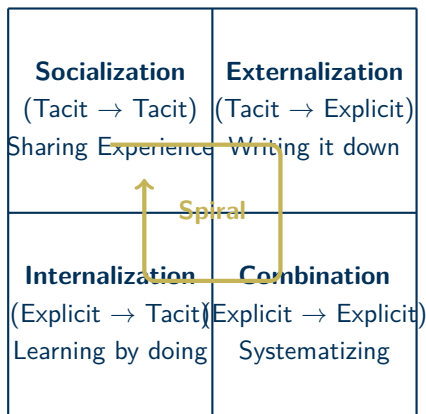
Often skipped because teams want to move to the next project or are afraid of blame.

Best Practices for Reviews:

1. **Timing:** Do it immediately after project close (or at stage-gates).
2. **Culture:** No-blame environment. Focus on process, not people.
3. **Questions:**
 - What did we intend to do?
 - What actually happened?
 - Why the difference?
 - What will we do differently next time?

Knowledge Creation: The SECI Model

How knowledge spirals from individual to organization.



The ultimate goal of learning is **Dynamic Capability**.

- **Static Capability:** Doing things right (Efficiency). "We build great diesel engines."
- **Dynamic Capability:** Doing the right things (Adaptability). "We learned how to shift from diesel to electric."

Definition

The firm's ability to integrate, build, and reconfigure internal and external competences to address rapidly changing environments.

Why do organizations suffer from "Amnesia"?

- **The "Air-Gap":** Project teams disband before knowledge is captured.
- **Not Invented Here (NIH):** Refusal to learn from outsiders.
- **Failure Aversion:** Hiding mistakes instead of analyzing them (The most valuable lessons come from failure).
- **Rigidity:** "We've always done it this way."

Benchmarking

A key tool for learning. Comparing your processes to the "best in class" (not just competitors, but anyone superior).

Steps to culture change:

- Create "Ba" (Shared spaces for interaction).
- Reward knowledge sharing, not just knowledge hoarding.
- Make learning a KPI (Key Performance Indicator).

Summary:

1. Learning is the mechanism that turns **Experience** into **Capability**.
2. We must manage the conversion of **Tacit** (Head) to **Explicit** (Document) knowledge.
3. The **Innovation Learning Cycle** (Do → Review → Learn → Plan) must be formalized.
4. **Dynamic Capabilities** ensure the organization can adapt to the future rather than just optimizing the past.

Thank You

Questions?